determined. It is subject to some restrictions like trade. Removing these restriction leads to convertibility.

Facility of exchanging domestic currency for foreign currency at market determined exchange rate without restriction on either rate or quantum of money exchanged is called convertibility.

The committee on fuller capital account convertibility observes as, "Currency convertibility refers to the freedom to convert the domestic currency into other internationally accepted currencies and vice versa. Convertibility in that sense is the obverse of controls or restrictions on currency transactions. While current account convertibility refers to freedom in respect of payments and transfers for current international transactions, capital account convertibility (CAC) would mean freedom of currency conversion in relation to capital transactions in terms of inflows and outflows."

Convertibility in India

The convertibility in India is a gradual one. Like other reforms it was also introduced in 1990s. Convertibility in current account was introduced first and then it was introduced in the capital account.

Current Account Convertibility

Current account convertibility refers to the freedom of converting home currency into foreign currency with respect to transactions in current account.

Budget 1992–93 introduced Liberalized Exchange Rate Management System (LERMS). In this system, 60 per cent of foreign exchange earnings are convertible at open market rate, and remaining 40 per cent at RBI fixed rate.

In 1993–94, government introduced full convertibility in trade account.